

Engineering Department Pay for Performance Proposal

Prepared by: Jason Talsma

Date: 11 March 2018

Proposal Introduction

Acronyms Used in Presentation

OT	Over-time
PFP	Pay for Performance
DI	Difficulty Index
OTD	On Time Delivery
CFT	Cross-functional Team

Proposal Introduction

This proposal outlines the need for the reduction and elimination of the current over-time system in the Engineering Department (and only the Eng. Dept.) of Eastek International, followed by the implementation of a form of Pay for Performance (PFP) tailored to the Department.

Problems

- Self-terminations
 - Reduced production periods lead to controlled OT in the whole factory, severely impacting employee salaries
 - With almost 50% of an Engineer's salary consisting of OT, many will quit during these periods
- Abuse of current OT system
 - OT hours are often used very inefficiently
- Late Projects
 - There is no direct reward or punishment for early or late projects, therefore no concern

Expected Results

Implementing a PFP system will accomplish six major goals:

1. Eliminate nonessential OT hours
2. Reduce employee self-terminations
3. Improve extended retention of employees
4. Enhance timely project completion
5. Increase productivity
6. Establish more predictable wages

Proposed Solution

Basics

- We will replace OT with a PFP system consisting of two components:
 1. Project Hours Performance Pay
 2. Project Completion Performance Pay

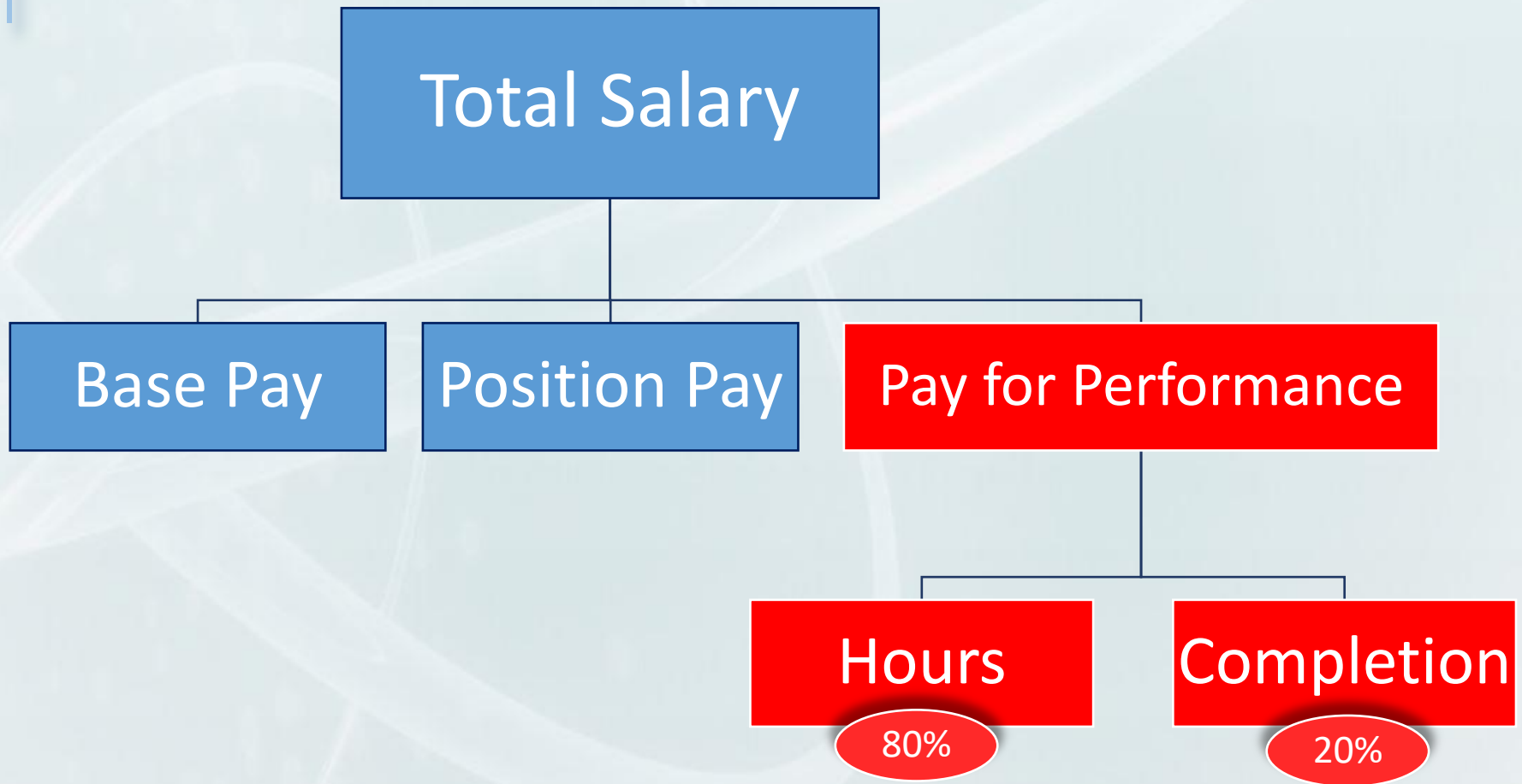
Proposed Solution

Current Pay System



Proposed Solution

New Pay System



Proposed Solution

Performance Categories

- **Project Hours Performance Pay**
 - 80% of the Total Project Performance Pay is distributed to each team member using percentages
 - The percentage each individual receives is based on his/her working hours spent on said project
- **Project Completion Performance Pay**
 - 20% of the Total Project Performance Pay is distributed to each team member, also using percentages
 - Will be divided amongst the members of the CFT based on quality of work throughout the given project, but is also dependent on timeliness

Method of Implementation

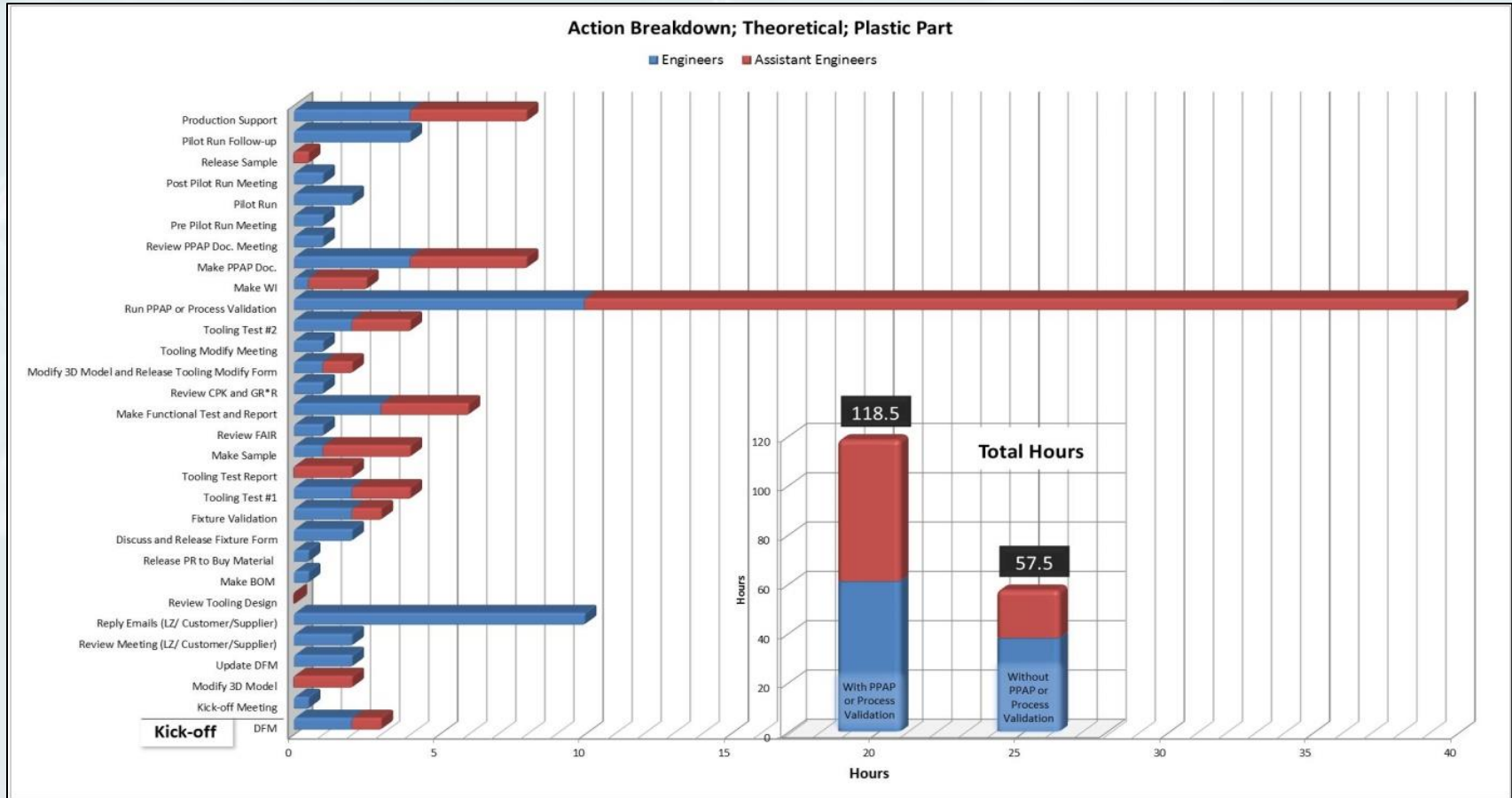
Hours Performance Pay

Difficulty Index

- A Difficulty Index (DI) will be created and decided upon by LZ
- This index assigns a difficulty rating to each project that comes through the door
- The rating is based on the expected Standard Man Hours per project with consideration given to the size of work force necessary for project completion
- Using existing salary and OT data (see next slides for examples) LZ will devise a financially viable pay scale

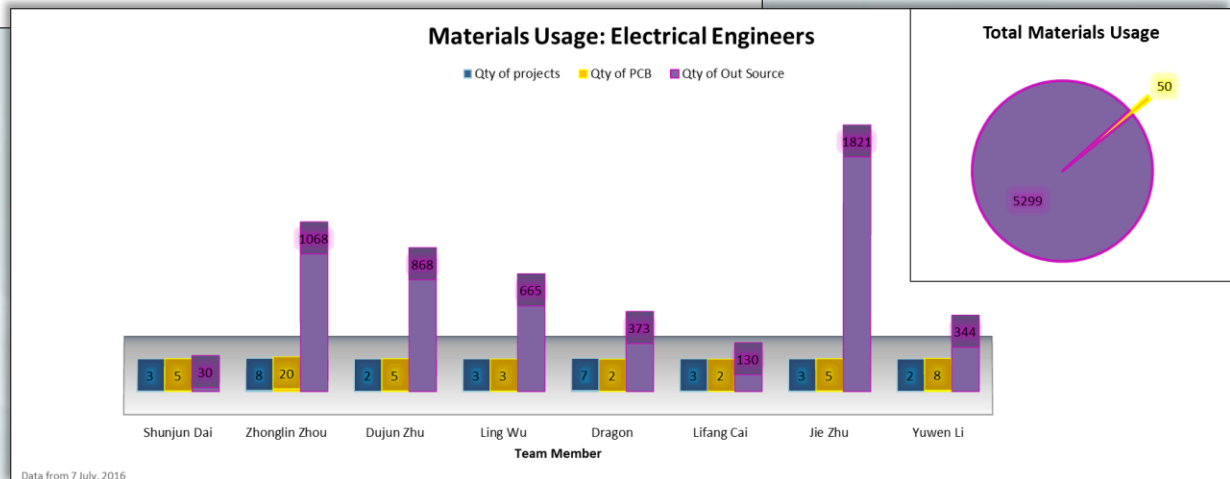
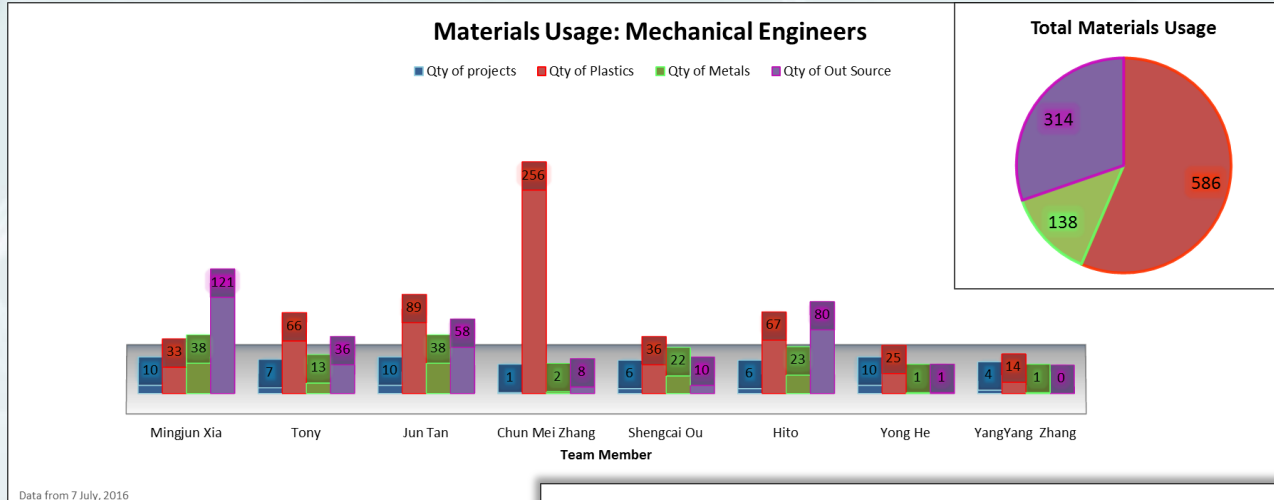
Hours Performance Pay

Sample Data for Standard Man Hours per Project



Hours Performance Pay

Sample Data for Standard Man Hours per Project



Hours Performance Pay

Difficulty Index

- The RMB-to-hours relationship associated with the DI must be clear and well explained. It is very important to communicate how employees are to be evaluated.
- The difficulty level, and therefore the total performance pay amount, is subject to change with the project
- In order to avoid choosing the projects an employee might find more appealing, a project's assigned DI rating need not, and should not, be disclosed
 - Furthermore, the members of the CFT will be assigned to a project based on their known strengths and weaknesses

Hours Performance Pay

Tracking Hours

- The hours spent on each project will be logged using the ZenTao project management software that is already in use in the Engineering Department
- Engineers currently fail to input the required data in order to properly track projects in ZenTao, leading to poor project organization
- This method will highly incentivize using the software correctly

Hours Performance Pay

Over-time Hours

- OT will still be taken into consideration under the new PFP scheme
- OT will be recorded in the same manner as it currently is, only without assigning a monetary value.
- These hours will be counted as time and a quarter when each employee's man hours spent on the project are added up to decide the awarded PFP amount
- Will force employees to only utilize OT when truly necessary

Hours Performance Pay

Disbursement

- The money earned from the Project Hours Performance Pay is disbursed after the completion of a project on a monthly basis over a period of time equal to that of the project
- This method of implementation will increase the retention rate of engineers since they will want to receive the performance pay they just earned
- It is important to note that the performance pay does not only apply to upper management but the entire department

See next slide for an example

Hours Performance Pay

Disbursement Example

Project Length:		
PFP Disbursement:		
Total Hours Performance Pay: 60,000 RMB		
Start		End
January		January
February		February
March		March
April		April
May		May
June		June
July		July
August		August
September		September
October		October
November		November
December		December
Project Length: 6 months		
Disbursement Length: 6 months		
Disbursement per Month: 10,000 RMB		

Completion Performance Pay

Basics

- The Project Completion Performance Pay makes up 20% of total PFP amount attributed to each project
- It is distributed if the product is shipped before, on, or after the calculated On Time Delivery (OTD) date.
- The timeliness of completion will affect the total amount that will be distributed amongst the CFT

Completion Performance Pay

Early and Late Projects

- Each month **before** the OTD date a project is completed, the total Completion Performance Pay is **increased** by a month's worth of performance pay
- Each month **after** the OTD date a project is completed, the total Completion Performance Pay is **decreased** by a month's worth of performance pay

See next slide for examples of each case

Completion Performance Pay

Completion Timeliness Examples

Project Completion Performance Pay Allotment: 60,000 RMB						Key:	
Expected Project Length: 6 months						Project Length:	
OTD Date: June						PFP Disbursement:	
Case 1: Early			Case 2: On Time			Case 3: Late	
Start		End	Start		End	Start	End
January		January	January		January	January	January
February		February	February		February	February	February
March		March	March		March	March	March
April		April	April		April	April	April
May		May	May		May	May	May
June		June	June		June	June	June
July		July	July		July	July	July
August		August	August		August	August	August
September		September	September		September	September	September
October		October	October		October	October	October
November		November	November		November	November	November
December		December	December		December	December	December
January		January	January		January	January	January
Project Length: 5 months RMB Disbursed: 70,000			Project Length: 6 months RMB Disbursed: 60,000			Project Length: 7 months RMB Disbursed: 50,000	

Completion Performance Pay

OTD

- The OTD date is created using Standard Man Hours per project and given lead time data
- In order to account for issues where the engineers are not at fault, flexibility will be built in
 - The project “timer” can be paused for an issue and simply resumed later
 - Management will review issues on a case by case basis in order to properly adjust the OTD date, DI rating, or both.

Completion Performance Pay

Disbursement

- The pay will be disbursed based on individual work quality within the CFT using percentages of the Completion Performance Pay
- Will promote competitive individual effort while still requiring everyone to pull in the same direction
- Will increase project turnover rate

Completion Performance Pay

Disbursement Example

CFT Members	PM	15%
	PE	30%
	ME	20%
	QC	5%
	PMC	5%
	Purchasing	5%
	Prod. Electronics	5%
	Prod. Plastics	5%
	Prod. Metal Stamping	5%
	Tooling	5%

Note:

The engineering department will be the only department eliminating OT.

Completion Performance Pay

Evaluations

- The first portion of employee evaluations will take into consideration standard requirements for every employee
 - This will include, but is not limited to, efficiency, discipline, accuracy, attendance, and attitude
- The second portion of employee evaluations will specifically consider the employee's position and required duties
- Will help make clear goals and expectations for employees in general
- It is very important the evaluation process is, and even more importantly seems, fair from the employee's perspective.

In Summation

The adoption of a PFP scheme in a knowledge based field such as Engineering can be difficult since it is hard to quantify most of their work, however, the benefits are very valuable:

1. No wasted wages on inefficient OT
2. Reduced impact of OT cessation periods
3. Conservation of the team environment
4. Escalation of project turnover rate
5. Increased competition with team end goals
6. No financially harmful fluctuation of wages
(from both management and employee perspective)

Idea: 345 Payment Concept

